

Tech Mahindra Ltd (TECHM)

Sector: Information Technology

ROE

9.0%

ROCE

9.2%

D/E

0.10x

OPM

8.7%

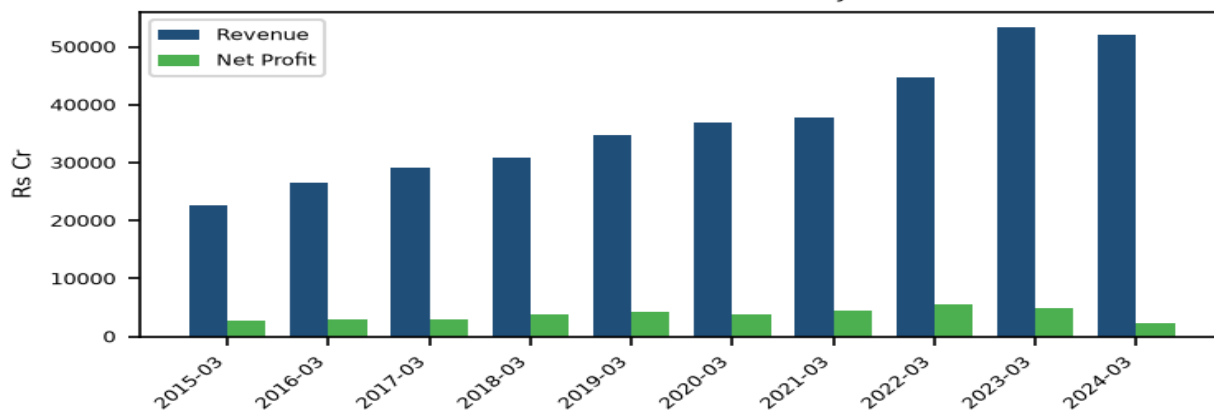
Revenue CAGR 5yr

8.4%

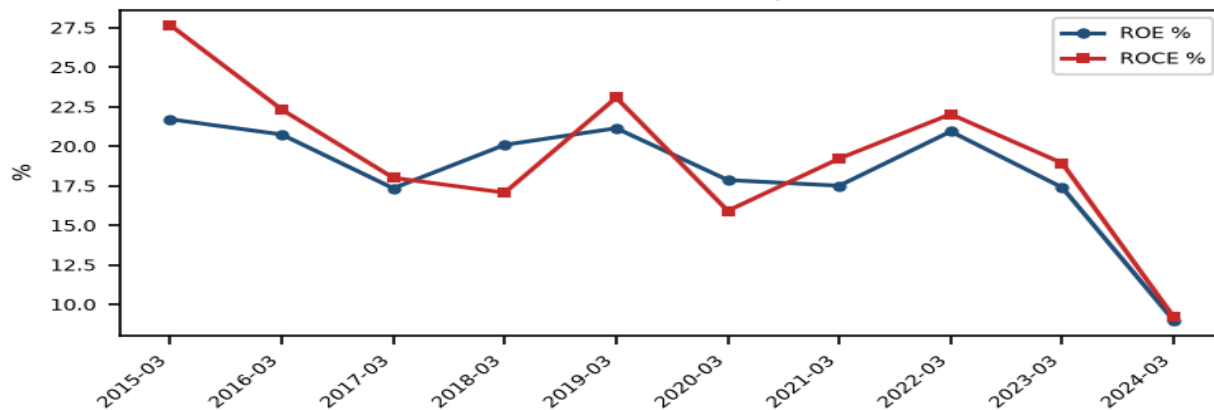
Free Cash Flow

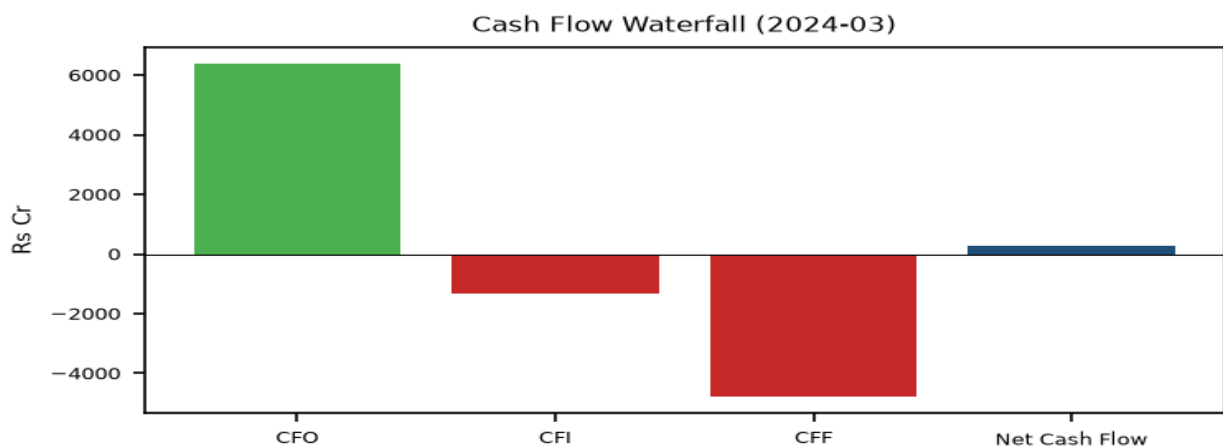
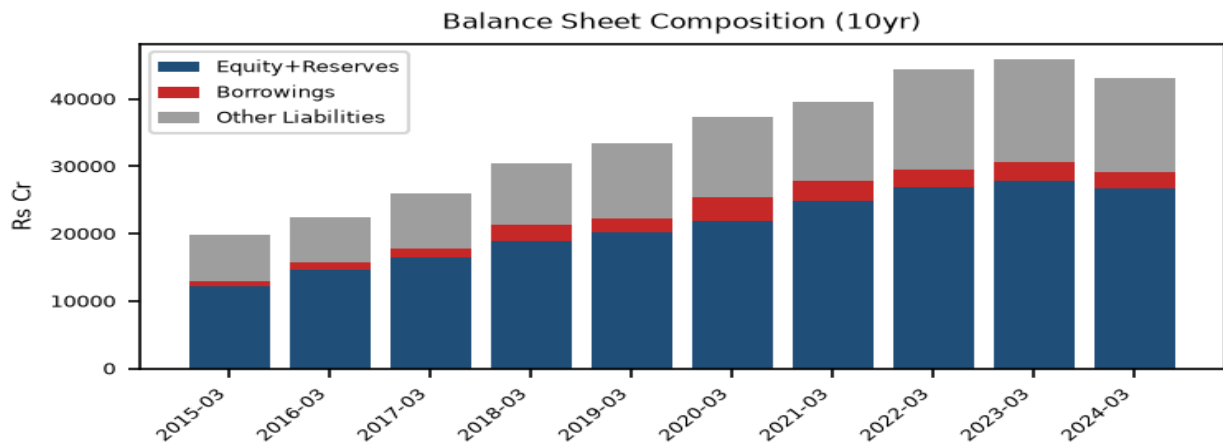
Rs 5,058 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Shareholder Returns